

Payment of Gratuity Act, 1972 -- Section 4(1)

Gratuity shall be payable to an employee on the termination of his employment after he has rendered continuous service for not less than five years -- (a) on his superannuation, or (b) on his retirement or resignation, or (c) on his death or disablement due to accident or disease. Provided that the completion of continuous service of five years shall not be necessary where the termination of the employment of any employee is due to death or disablement.

Payment of Gratuity Act, 1972 -- Section 4(2)

For every completed year of service or part thereof in excess of six months, the employer shall pay gratuity to an employee at the rate of fifteen days' wages (based on the rate of wages last drawn, comprising basic wage and dearness allowance) for every completed year of service, calculated as: $(\text{last drawn monthly wage} / 26) \times 15 \times \text{number of completed years of service}$.

Payment of Gratuity Act, 1972 (as amended 2018) -- Section 4(3)

The maximum amount of gratuity payable under the Act shall not exceed Rs. 20,00,000 (twenty lakh rupees), as notified by the Central Government with effect from 29 March 2018, revising the earlier statutory ceiling of Rs. 10,00,000 (ten lakh rupees) fixed in 2010.